

Indarte's pair identifies the liquidity wedge, not the discount rate

Observed ratio 0.21 (band: 95% from both s.e.); the curves for different rho are nearly identical, so the crossing

model ratio: equity response / payment response, per \$1,000

1.5
1.0
0.5
0.0

0.0

0.5

1.0

1.5

$\lambda_{\text{illiquid}}$ (marginal utility of protected equity relative to cash at the default threshold)

ρ 0.05 0.15 0.3

